

		The party seeking discovery of confidential information must show a particularized need for the information sought. The court must be convinced that the information is directly relevant to a cause of action or defense, i.e., that it is essential to determining the truth of the matters in dispute. (Britt, supra, 20 Cal.3d 844, 859-862; Weil & Brown, Cal. Prac. Guide: Civ. Pro. Before Trial (The Rutter Group June 2018 update) § 8:320.) The subpoenas are overbroad because they seek any and all records without limitation as to scope or time. Plaintiff has shown the body parts and complaints at issue are: head, neck, lower back, left shoulder, and both wrists. Additionally, Defendants do not dispute the list provided by Plaintiff. According, Plaintiff's Motion is granted
3	2025-01489873 <i>Chen vs. Mercedes-Benz USA, LLC</i>	Motion to Compel Arbitration Defendant Mercedes-Benz USA, LLC's Motion to Compel Binding Arbitration is GRANTED. Plaintiff Minyi Chen's (Plaintiff) unopposed Request for Judicial Notice is GRANTED. (Evid. Code, §§ 452, 453.) Plaintiff's objections are OVERRULED. The court will consider Defendant's exhibits that were inadvertently omitted from motion filed with the court, which Defendant attached to its reply. Defendant Mercedes-Benz USA, LLC (Defendant) has brought this motion pursuant to both the Federal Arbitration Act (9 USC § 1-14) (FAA) and the California Arbitration Act (Code Civ. Proc., §§ 1281 et seq.) (CAA). <u>Existence of Arbitration Agreement</u> A party moving to compel arbitration bears the initial burden of producing "prima facie evidence of a written agreement to arbitrate the controversy." (Gamboa v. Northeast Community Clinic (2021) 72 Cal.App.5th 158, 165 (Gamboa).) The moving party can meet its initial burden by either attaching a copy of the arbitration agreement purporting to bear the opposing party's signature to the motion or by setting forth the agreement's provisions verbatim in the motion. (Ibid; Condee v. Longwood Management Corp. (2001) 88 Cal.App.4th 215, 219 (Condee); Cal. Rules of Court, rule 3.1330.) For this step, "it is not necessary to follow the normal procedures of document authentication." (Condee, supra, 88 Cal.App.4th at p. 218.) "If the moving party meets its initial prima facie burden and the opposing party does not dispute the existence of the arbitration agreement, then nothing more is required for the moving party to meet its burden of persuasion. (Gamboa, supra, 72 Cal.App.5th at p. 165.)

“[I]f the moving party meets its initial prima facie burden and the opposing party disputes the agreement, then in the second step, the opposing party bears the burden of producing evidence to challenge the authenticity of the agreement. The opposing party can do this in several ways. For example, the opposing party may testify under oath or declare under penalty of perjury that the party never saw or does not remember seeing the agreement, or that the party never signed or does not remember signing the agreement. If the opposing party meets its burden of producing evidence, then in the third step, the moving party must establish with admissible evidence a valid arbitration agreement between the parties. The burden of proving the agreement by a preponderance of the evidence remains with the moving party.” (Gamboa, supra, 72 Cal.App.5th at pp. 165-165 [cleaned up].)

Here, Defendant seeks to compel arbitration pursuant to an arbitration provision contained the Credit Authorization and Acknowledgment (Credit Acknowledgment). However, other than making the general assertion that it can enforce the Credit Acknowledgment’s arbitration provision, Defendant’s specific arguments regarding equitable estoppel and third-party beneficiary make no reference to it. (See Motion, pp.8:21-11:16.) The court is not required to examine undeveloped claims. (Maral v. City of Live Oak (2013) 221 Cal.App.4th 975, 984.) Therefore, the court finds Defendant has not established it is entitled to compel arbitration pursuant to the Credit Acknowledgment.

Defendant seeks to compel arbitration pursuant to an arbitration provision in the California Motor Vehicle Lease Agreement between Plaintiff and Mercedes-Benz of Arcadia (Dealership), who is not a party to this action, dated 2/9/23 (Lease). (See Milstein ¶ 3 & Ex. B to Reply.) The Lease refers to Plaintiff as “Lessee,” “Co-Lessee,” and “You” and the Dealership as “Lessor.” The Lease also describes “We,” “Us”, and “Our” as Lessor, and after the Lease is assigned, to Mercedes-Benz Vehicle Trust or its successors or assigns. (See Motion, p. 2:5-8; Lease Agreement at p. 1, Ex. B to Reply.)

The arbitration provision in the Lease provides, in part: **IMPORTANT ARBITRATION DISCLOSURES**

The following arbitration provisions significantly affect your rights in any dispute with us. Please read the following disclosures and the arbitration provision that follows carefully before you sign the contract.

1. If either you or we choose, any dispute between you and us will be decided by arbitration and not in court.
2. If such dispute is arbitrated, you and we will give up the right to a trial by a court or a jury trial.
3. You agree to give up any right you may have to bring a class action lawsuit or class arbitration, or to participate in either as a claimant, and you agree to give up any right you may have to consolidate your arbitration with the arbitration of others.

4. The information that can be obtained in discovery from each other or from third persons in arbitration is generally more limited than in a lawsuit.

5. Other rights that you and/or we would have in court may not be available in arbitration.

Any claim or dispute, whether in contract, tort or otherwise (including any dispute over the interpretation, scope, or validity of this lease, arbitration section or the arbitrability of any issue), between you and us or any of our employees, agents, successors, assigns, or the vehicle distributor, including Mercedes-Benz USA LLC (each a ‘Third Party Beneficiary’), which arises out of or relates to a credit application, this lease, or any resulting transaction or relationship arising out of this lease (including any such relationship with third parties who do not sign this contract) shall, at the election of either you, us, or a Third Party Beneficiary, be resolved by a neutral, binding arbitration and not by a court action. Any claim or dispute is to be arbitrated on an individual basis and not as a class action. The arbitration shall be administered by the American Arbitration Association, or by any other organization that you may choose, subject to our or a Third Party Beneficiary’s approval.

[...]

(See Motion, pp. 2:10-3:18 & Lease at p. 4, Ex. B to Reply [**bold in original, underline added**].)

The arbitration provision also states that “[a]ny arbitration under this lease shall be governed by the Federal Arbitration Act (9 USC 1, et seq.).” (Motion, p. 3:16-17 & Lease at p. 4, Ex. B to Reply.) Plaintiff does not contest that the FAA applies. (See Rodriguez v. Am. Technologies, Inc. (2006) 136 Cal.App.4th 1110, 1122 [“Thus, there is no ambiguity regarding the parties’ intent. They adopted the FAA—all of it—to govern their arbitration. The FAA controls”].) Accordingly, the court finds that the FAA governs.

Defendant has met its initial burden by setting forth the arbitration provisions of the Lease verbatim in the motion. Plaintiff has failed to produce evidence challenging the authenticity of the agreement. Plaintiff has also failed to challenge the validity of the agreement. Thus, the court finds Defendant has established the existence of an arbitration agreement in the Lease.

Equitable Estoppel

Defendant contends it is entitled to enforce the arbitration provision in the Lease based on principles of equitable estoppel and third-party beneficiary. The Lease contains a broad arbitration provision that specifically references Defendant. (See provision quoted above.) Plaintiff contends Defendant lacks standing to do so because his claims against Defendant under the Song-Beverly Consumer Warranty Act (Song-Beverly Act) do not arise from the Lease; Defendant does not directly benefit from the Lease and the motivating purpose of Lease was not to benefit Defendant since it expressly allows only Plaintiff and the Dealership to compel arbitration; and permitting Defendant to enforce

the arbitration clause would be inconsistent “with the objectives of the contract,” i.e. to finance Plaintiff’s lease of the vehicle and allow only Plaintiff and the Dealership to compel arbitration, and violate “ the reasonable expectations of the parties.”

“Under certain circumstances, a nonsignatory to an arbitration agreement may seek to enforce it against a signatory. Whether such enforcement is permissible is a question of state law.” (Ford Motor Warranty Cases (2023) 89 Cal.App.5th 1324, 1332 (Ochoa) [citing *Kramer v. Toyota Motor Corp.* (9th Cir. 2013) 705 F.3d 1122, 1128; *Thomas v. Westlake* (2012) 204 Cal.App.4th 605, 614, fn. 7].) Even where the FAA applies, state contract law determines whether a non-signatory may compel arbitration. (*Arthur Andersen LLP v. Carlisle* (2009) 556 U.S. 624, 630-631; *Victrola 89, LLC v. Jaman Properties 8 LLC* (2020) 46 Cal.App.5th 337, 353, fn. 6.)

State law provides six theories by which a non-signatory may compel or be bound to arbitrate. These theories include: “(a) incorporation by reference; (b) assumption; (c) agency; (d) veil-piercing or alter ego; (e) estoppel; and (f) third-party beneficiary.” (*Suh v. Superior Court* (2010) 181 Cal.App.4th 1504, 1513 [cleaned up].)

“[T]he equitable estoppel doctrine applies when a party has signed an agreement to arbitrate but attempts to avoid arbitration by suing nonsignatory defendants for claims that are based on the same facts and are inherently inseparable from arbitrable claims against signatory defendants.” (*Metalclad Corp. v. Ventana Environmental Organizational Partnership* (2003) 109 Cal.App.4th 1705, 1713 (Metaclad) [cleaned up].) “Courts applying equitable estoppel against a signatory have looked to the relationships of persons, wrongs and issues, in particular whether the claims that the nonsignatory sought to arbitrate were intimately founded in and intertwined with the underlying contract obligations.” (*Ibid.* [cleaned up].)

The California Supreme Court in *Ford Motor Warranty Cases* (2025) 17 Cal.5th 1122, recently addressed the application of equitable estoppel in the context of Song-Beverly Act cases. In *Ford Warranty Cases*, Ford cited to *Metaclad*, a case cited by Plaintiff here, in support of its argument that the plaintiffs were equitably estopped from contending that Ford was a nonsignatory, and the Supreme Court rejected this argument:

“Under that analysis, in limited circumstances, if a plaintiff sues a third party to assert a claim that is intimately founded in and intertwined with a contractual provision, that third party may move to compel arbitration of the claim even though that third party is a stranger to the contract . . . We conclude this estoppel approach has no application here. Ford seeks to invoke an arbitration clause in a dispute flowing, not from the contract where the arbitration clause appears, but from obligations imposed by statute or conventional fraud duties. As plaintiffs’ claims are not intimately founded in or intertwined with the sales contracts,

plaintiffs should not be estopped from pursuing their remedies against Ford in court.”

(Ford Motor Warranty Cases, *supra*, 17 Cal.5th at p. 1126 [cleaned up].)

Here, none of Plaintiff’s claims against Defendant depend on the existence of either the Lease or any obligation it imposes on Defendant. Nothing in the Complaint suggests Plaintiff’s claims are based on any express or implied warranty contained in the Lease; and the material terms of the express written warranty alleged in the Complaint appear nowhere in the Lease. In addition, Defendant’s warranty obligations to Plaintiff would arise even absent the Lease. For instance, if Plaintiff had purchased the Subject Vehicle out right from the Dealership rather than leasing or financing it, Defendant’s obligations under the Song-Beverly Act would still exist. Thus, Plaintiff’s claims are independent of the Lease arise out of warranties directly between Plaintiff and Defendant or otherwise imposed by law upon Defendant.

As such, the court finds equitable estoppel does not apply here.

Third-Party Beneficiary

The “third party beneficiary” analysis, however, does not consider whether Plaintiff’s claims are necessarily intertwined with the sales or lease contract. Instead, courts determine “(1) whether the third party would in fact benefit from the contract . . . (2) whether a motivating purpose of the contracting parties was to provide a benefit to the third party, and (3) whether permitting a third party to bring its own breach of contract action against a contracting party is consistent with the objectives of the contract and the reasonable expectations of the contracting parties. All three elements must be satisfied to permit the third party action to go forward.” (Goonewardene v. ADP, LLC (2019) 6 Cal.5th 817, ADP, LLC (2019) 6 Cal.5th 817, 829-830 (Goonewardene).)

Further, the Supreme Court in Ford Motor Warranty Cases relied on the fact that “Ford, the manufacturer, was not a party to, or named in, the sales contracts.” (Ford Motor Warranty Cases, 17 Cal.5th at p. 1126 [emphasis added, cleaned up].)

Here, on the other hand, the Lease expressly names Defendant as a third-party beneficiary. (See Motion, p. 3:5-6 & Lease at p. 4, Ex. B to Reply.)

Plaintiff’s reliance on Ngo v. BMW of N. Am. (9th Cir. 2022) 23 F.4th 943 and Ochoa, *supra*, 89 Cal.App.5th 1324 is misplaced. Unlike the sales contracts in Ngo and the Ochoa, the Lease here expressly names Defendant as a third-party beneficiary and specifically allows Defendant as a third-party beneficiary to elect binding arbitration to resolve a dispute between Plaintiff and Defendant. (Motion, p. 3:5-10 & Lease at p. 4, Ex. B to Reply.)

		Accordingly, each element of the Goonewardene three-part test have been met. First, by naming Defendant as a third-party beneficiary, the Lease evinces an intention to directly benefit Defendant by allowing it to take advantage of the arbitration provisions. Second, a motivating purpose of the contracting parties was to provide Defendant with a benefit, i.e. the power to compel arbitration. Third, since the contracting parties' specifically named Defendant as a third-party beneficiary, allowing Defendant to enforce the arbitration provisions is consistent with the contracting parties' reasonable expectations. Therefore, Defendant is an expressly intended third-party beneficiary who may compel arbitration under the Lease. (See Ochoa, supra, 89 Cal.App.5th at p. 1339 [noting that "[i]f the signatories had intended to benefit FMC, such a purpose would have been easy to articulate. They could have simply named FMC—directly or by class as the vehicle's manufacturer—as a person entitled to compel arbitration. But they did not."]; see also Ngo, supra, 23 F.4th at p. 948 [similarly noting "the parties easily could have indicated that the contract was intended to benefit BMW—but did not do so."].) The court therefore finds Defendant is an intended third-party beneficiary under Goonewardene. The motion is GRANTED. The court STAYS this action pending resolution of the parties' arbitration. (Code Civ. Proc., § 1281.2.) Defendant to give notice.
4	2023-01326675 <i>Contreras vs. Costa Mesa Knockout, LLC</i>	Motion to Enforce Settlement The unopposed motion of plaintiff Adrian Contreras for an order enforcing a settlement with defendants Costa Mesa Knockout, LLC, Paige Hopkins, and Kevin Reilly and entering judgment on it is GRANTED. Judgment requiring defendant to pay plaintiff \$35,000 will be entered.
5	2023-01318166 <i>Gilleland vs. Patterson</i>	Motion to Compel Deposition (Oral or Written) Defendant Martha G. Patterson's Motion to Compel Compliance with the Deposition Subpoena for Business Records from Nonparty FEM Law Group P.C. is DENIED as moot. Defendant's request for sanctions is GRANTED. FEM Law Group P.C. is ORDERED to pay \$1.352 in sanctions. Defendant's requests for judicial notice are granted as documents of the courts of this state. "If a deponent fails to answer any question or to produce any document, electronically stored information, or tangible thing under the deponent's control that is specified in the deposition notice or a deposition subpoena, the party seeking discovery may move the court for an order compelling that answer or production." (Code Civ. Proc., § 2025.480(a).)